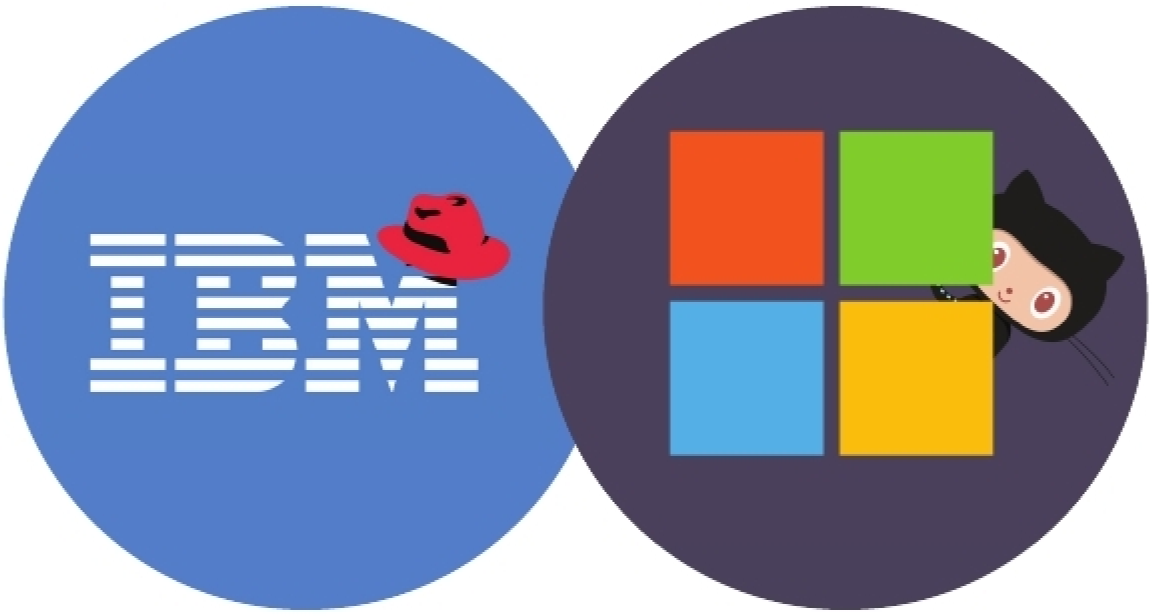
The IBM-Red Hat and Microsoft-GitHub Deals Bode Well for OSS



With more and more enterprises adopting open source software, and IT giants like IBM and Microsoft acquiring open source companies like Red Hat and GitHub, it's pretty clear that OSS offers endless opportunities and is worth billions of dollars today.

Dropping stock prices over the last five years and declining revenues have not stopped IBM from acquiring Red Hat for a staggering US$ 34 billion. Touted as one of the biggest software deals ever, it also is the biggest in IBM's 107-year history. Analysts and experts all over the world are busy decoding the deal. While some think that IBM acquiring Red Hat will put the former back on track, others have argued that the move may not be profitable at all.

But the real question that arises out of this deal concerns the future of open source software versus licence based software. This acquisition throws the spotlight on the future of software companies dealing in licensed or closed source software solutions, and most importantly, it highlights the advantages open source will have in terms of profit for the provider, as well as for the enterprises using it.

Is the use of open source software the next big thing?

In an email shared to all Red Hat employees, Jim Whitehurst, CEO, Red Hat, said, "We have barely scratched the surface of the opportunity that is ahead of us. Open source is the future of enterprise IT. We believe our total addressable market to be US$ 73 billion by 2021. If software is eating the world – and with digital transformation occurring across industries, it truly is – open source is the key ingredient."

A number of enterprises are now shifting to OSS as the primary operating platform. The future of open source computing and cloud usage will define how institutions, organisations and governments function all over the world.

The mission of the US government's 'code.gov' project is claimed to be: "Code.gov leverages the power of code sharing and collaboration to help the US government cut down on duplicate software development and save millions of taxpayer dollars for the American people." It even has a 'progress report' tab that explains which government departments in the country have open sourced the code they use. It is worth mentioning here that most of the big players operating in the open source software technology space are based out of the USA.

India, the world's sixth largest economy, also focuses on OSS. Its railway ticket booking portal, Aadhaar and GST platforms are powered by open source software. In fact, several reports have suggested that the Bombay Stock Exchange (BSE) has been able to save more than Rs 83 billion by switching to open source software and support by Red Hat India.

Kersi Tavadia, CIO, BSE, says, "Google is using open source. Facebook is using it. Everyone else is using it, and that's why they're profitable. They're not spending resources on proprietary software and hardware. We knew we needed to go in that direction as well."

Explaining the advantages of using Red Hat's open source software and support in the BSE, Tavadia adds, "We were able to cut manual activities substantially, so that tasks that once took four hours to accomplish now take less than one